

Karnataka State Financial Corporation

September 08, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Issuer rating	-	0.00	CARE BBB+; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Issuer Ratings: There is no instrument being rated and hence, Regulator of the Instrument is not applicable. The rating scale and definitions are being followed as stipulated in SEBI Master Circular for CRAs.

Rationale and key rating drivers

Karnataka State Financial Corporation's (KSFC) issuer rating continues to derive strength from strong parentage of Government of Karnataka (GoK), which holds 96.14% stake and provides regular support by way of interest subsidy schemes to its customers. The rating derives strength from KSFC's long operational track record of over six decades, comfortable capitalisation levels and consistent track record of healthy profitability, and its adequate liquidity position.

These rating strengths are partially offset by relatively modest scale of operations with high geographical concentration, moderate asset quality of the corporation with gross non-performing assets (GNPA) of above 6% as on March 31, 2026, and inherent risk associated with its customer segment. CareEdge Ratings expects that the corporation will continue to operate at a relatively modest scale, in line with its subdued growth outlook.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Improving scale, profits, and asset quality on a sustained basis.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Higher slippages impacting asset quality and profitability with return on total assets (ROTA) sustaining below 1%.
- Overall gearing exceeding 3x on a sustained basis.
- Moderation in linkages and support from GoK.

Analytical approach: Standalone

Outlook: Stable

CareEdge Ratings believes that the entity will sustain its business and financial performance while keeping credit costs under control in the medium term.

Detailed description of key rating drivers

Key strengths

Strong parentage and support from GoK

KSFC benefits from strong promoter support, with the GoK holding a majority stake of 96.14% as on March 31, 2026. Given the corporation's healthy capital adequacy position, there were no equity infusions from FY24 onwards. Historically, GoK has provided regular financial assistance to KSFC to support its operations. KSFC continues to receive operational support from the state government in the form of interest subsidies. In FY26, KSFC received ₹99.62 crore as interest subsidy (FY25: ₹140.67 crore) under schemes targeted at Scheduled Castes/Scheduled Tribes, women entrepreneurs, and borrowers under the Ministry of Micro, Small & Medium Enterprises (MSME).

CareEdge Ratings expects the GoK to continue extending financial, managerial, and operational support to KSFC and will remain a key monitorable going forward.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Healthy capitalisation levels

Capital adequacy ratio (CAR) and Tier-1 CAR stood comfortable at 60.26% and 56.92%, respectively, as on March 31, 2026, against 60.23% and 57.47% as on March 31, 2025, supported by accretion of healthy profit in FY26. This provides KSFC with sufficient cushion to absorb elevated provisioning costs, if required.

Aided by profit accretion, and scheduled repayments made, KSFC's gearing levels continued to remain comfortable and improved from 0.46x as on March 31, 2025, to 0.36x as on March 31, 2026. Total debt outstanding as on March 31, 2026, stood at ₹539 crore. KSFC's borrowing profile consists of entirely term loans from banks. It may be noted that KSFC started borrowing without state government guarantee in FY24. Share of borrowings with government guarantee reduced from 67.0% as on March 31, 2024, to 20.4% as on March 31, 2026. KSFC pays 1% as guarantee commission to GoK for the debt guaranteed by GoK. Consequently, the guarantee commission paid to GoK reduced from ₹6.22 crore in FY24 to ₹2.44 crore in FY25 and further to ₹0.87 crore in FY26.

As assets under management (AUM) levels have largely remained stable and only moderate growth is expected gearing is expected to remain below 1x in medium term.

Healthy profitability metrics

In FY26, KSFC's net interest margin remained stable at remained largely stable at 9.81% (PY:9.97%), supported by a reduced dependence on borrowings, which led to lower interest expenses. The corporation's operational efficiency improved, as reflected in a decline in operating expense to total assets at 3.24% in FY26 compared to 3.47% in FY25 and cost to income ratio stood at 27.70% in FY26 (29.69% in FY25).

Other income also stood higher owing to higher recoveries of ₹30.71 crore in FY26 against ₹27.35 crore in FY25. As a result, pre-provision operating profit (PPOP) increased by 5.97% in FY26 to ₹205 crore (FY25: ₹193 crore). Credit costs stood lower at 2.02% in FY26 compared to 2.30% in FY25 with decrease in slippages. The corporation also strengthened its asset quality buffers, raising the provision coverage ratio (PCR) from 63.00% as on March 31, 2025, to 74.97% as on March 31, 2026. Consequently, ROTA stood at 4.13% in FY26 (3.41% in FY25).

Due to lower leverage, NIM is expected to remain high. Stability in net interest margins, improved operational efficiency, and higher pre-provision operating profit reflect positively on KSFC's financial profile. The increase in provision coverage ratio cushions the profitability from asset quality shocks. The trajectory in fresh slippages and the resulting impact on credit costs and profitability will remain a key monitorable.

Long operational track record

KSFC has a long operational track record of over six decades in Karnataka. KSFC has a branch network of 32 branches spread across 30 districts in Karnataka. Loan portfolio witnessed marginal increase to ₹2,336 crore as on March 31, 2026 (March 31, 2025: ₹2,163 crore).

Key weaknesses

Modest scale of operations with high geographical concentration, and moderate asset quality

KSFC has an established track record of over six decades in Karnataka, reflecting its deep-rooted presence and experience in developmental financing. The corporation operates through a network of 32 branches, covering 30 districts across the state, facilitating access to credit for MSMEs and other priority sectors. However, KSFC's operations remain highly geographically concentrated, with its entire loan portfolio confined to Karnataka. As on March 31, 2026, KSFC's loan portfolio stood at ₹2,336 crore, registering a marginal increase from ₹2,163 crore as on March 31, 2025. Asset quality continues to remain moderate, with GNPA and net NPA (NNPA) at 6.02% and 1.58%, respectively, as on March 31, 2026 (FY25: 7.72% and 3.00%). Standard restructured accounts stood at ₹26.97 crore as on March 31, 2026, which constitutes 1.15% of net advances as on March 31, 2026 (March 31, 2025: 1.06%). Consequently, Net stressed assets/Net worth declined to 4.12% as on March 31, 2026, from 6.16% as on March 31, 2025.

KSFC's ability to absorb potential losses is supported by improving PPOP and a comfortable Tier-I capital base. Going forward, sustained improvement in asset quality, continued recoveries, and effective credit risk management will remain critical monitorable.

Inherent risk associated with its customer segment

Customer segments served by KSFC are MSME, first-generation entrepreneurs in semi-urban and rural areas with minimal or no access to bank financing. While this aligns with the corporation's developmental mandate, it also exposes KSFC to the inherent risks associated with lending to relatively underserved segments that often lack formal credit histories or collateral. The borrower base typically exhibits an average credit risk profile, making portfolio quality highly sensitive to external shocks and economic cycles. As such, the consistent and satisfactory performance of the loan book remains critical to safeguarding KSFC's earnings stability and maintaining asset quality

KSFC's ability to strike a balance between its developmental objectives and prudent risk management will be a key monitorable. Continued emphasis on strengthening underwriting practices, recovery mechanisms, and borrower engagement will be essential for sustaining credit quality and mitigating potential losses.

Liquidity: Adequate

Per the asset liability management (ALM) statement submitted by the Corporation as on March 31, 2026, KSFC's liquidity profile is characterised by positive cumulative mismatches in all time bucket. Positive cumulative mismatches were considering the short tenure of advances against longer borrowings from banks. The liquidity is also supported by lower reliance on borrowings with overall gearing at 0.36x as on March 31, 2026. As on March 31, 2026, the corporation had cash and bank balance of ₹17 crore and sanctioned undrawn bank lines of ₹85 crore.

Applicable criteria

[Policy on Default Recognition](#)

[Financial Ratios-Financial Sector](#)

[Issuer Ratings](#)

[Assigning Outlook or Rating Watch to Credit Ratings](#)

[Non-Banking Finance Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Financial institution

KSFC was incorporated in 1959, under the State Finance Corporations Act, 1951, by the GoK, with a mandate for assisting small and medium enterprises (SME) in the state with special focus on industrially backward areas. GoK is the majority shareholder (96.14%) in the corporation, whereas SIDBI holds 3.84% as on March 31, 2026.

Standalone Financials

Brief Financials (₹ crore)	March 31, 2024 (A)	March 31, 2025 (A)	March 31, 2026 (A)
Total income	335	340	336
Profit after tax (PAT)	116	80	100
Assets under management (AUM)	2063	2163	2336
On-book gearing (x)	0.54	0.46	0.36
AUM / tangible net-worth (TNW) (x)	1.63	1.57	1.56
Gross non-performing assets (NPA) / gross stage three (%)	7.09	7.72	6.02
Return on managed assets (ROMA) (%)	5.05	3.41	4.13
Capital adequacy ratio (CAR) (%)	60.15	60.23	60.26

A: Audited; UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA: Not applicable.

Any other information: Not applicable.

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4**Disclosure on facilities/instruments and name of regulators:**

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Issuer Rating-Issuer Ratings	-	-	-	-	-	-	0.00	CARE BBB+; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Bonds-Redeemable Non Convertible Unsecured Taxable Bonds	LT	-	-	-	1)Withdrawn (07-Aug-25)	1)CARE AA- (CE); Negative (08-Aug-24)	1)CARE AA- (CE); Negative (10-Aug-23)
2	Bonds-Redeemable Non Convertible Unsecured Taxable Bonds	LT	-	-	-	1)Withdrawn (07-Aug-25)	1)CARE AA- (CE); Negative (08-Aug-24)	1)CARE AA- (CE); Negative (10-Aug-23)
3	Bonds-Redeemable Non Convertible Unsecured Taxable Bonds	LT	-	-	-	1)Withdrawn (07-Aug-25)	1)CARE AA- (CE); Negative (08-Aug-24)	1)CARE AA- (CE); Negative (10-Aug-23)
4	Issuer Rating-Issuer Ratings	LT	0.00	CARE BBB+; Stable	-	1)CARE BBB+; Stable (07-Aug-25)	1)CARE BBB; Stable (08-Aug-24)	1)CARE BBB; Stable (10-Aug-23)

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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